

Macrotech Developers Ltd (LODHA)

Sector: Real Estate

ROE

8.9%

ROCE

9.8%

D/E

0.44x

OPM

25.8%

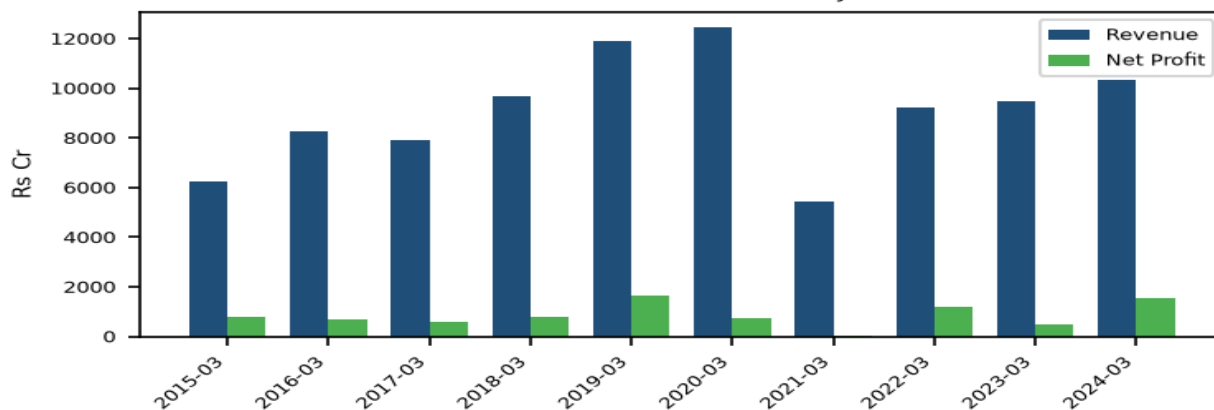
Revenue CAGR 5yr

-2.8%

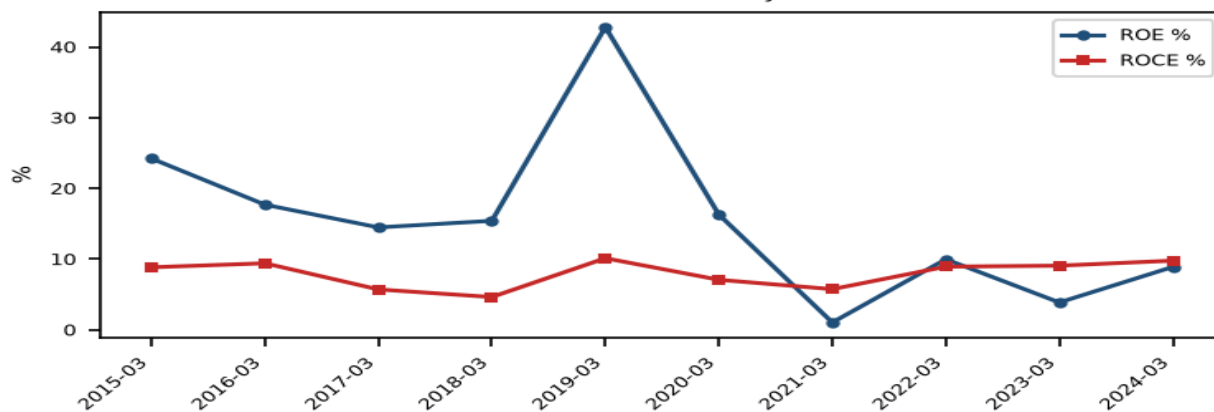
Free Cash Flow

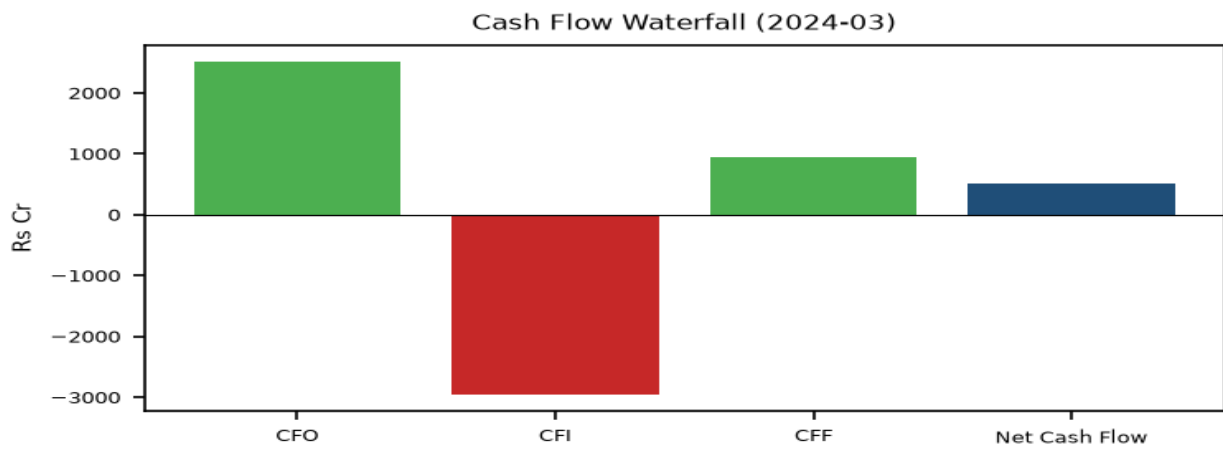
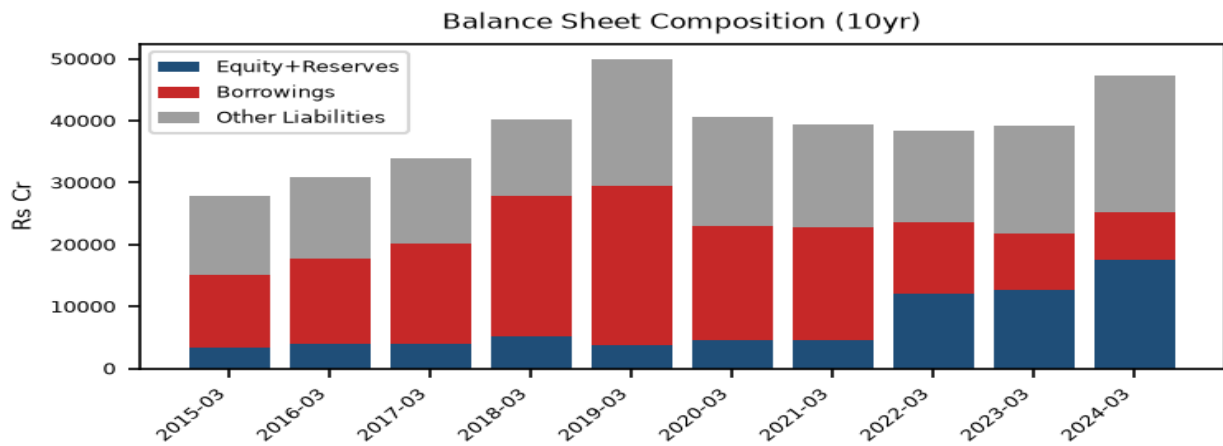
Rs -435 Cr

Revenue & Net Profit (10yr)



ROE vs ROCE (10yr)





Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Growing asset base funded by internal accruals reflects self-sustaining growth

Cons

- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum

Capital Allocation: Mixed